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2024 Will Set the Agenda for 2047

This year is an opportune moment to take stock, all with an eye on the template and trajectory for 2047

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WITH INDIA BECOMING A MEMBER OF THE UN STATISTICAL COMMISSION IN JANUARY 2024, IT IS TIME TO REVIVE ITS ONCE-RESPECTED STATISTICS SYSTEM

THIS YEAR IS the year of the National Election and there will be a new government. Even if the political composition of that government is the same as the present one, technically, it will be a new government. India is on a trajectory for *Amrit Kaal*, with an aspirational target of becoming a developed economy (interpreted as high income) in 2047. The year 2024 is roughly midway and is time to take stock and review. Also, the target of a \$5-trillion economy will be reached midway—or a few months earlier—into the term of the 2024-29 government. Not to forget Sustainable Development Goals (SDGs), with a terminal goal of 2030; most countries have deviated from this, India less so. Several people will suggest comprehensive reform agendas for the new government. But whatever the case may be, the new government needs to look at the following agendas.

First, there are direct taxes. The ultimate goal of direct tax reform is a simplified system, with removal of exemptions, so that compliance costs and litigation are reduced. For both personal income taxation and corporate taxes, there are two channels, one with fewer exemptions and lower rates. But for both channels, personal and corporate,

the fewer-exemption route is not yet attractive enough and needs to be incentivised more. Stated more strongly, one needs a direct tax code with zero exemptions, in the process, unifying personal income rates (which unincorporated enterprises also pay) and corporate taxation. This cannot be accomplished overnight, but the Budget for 2024-25 can set the tone and timeline.

Second, indirect taxes are largely under the purview of the GST Council. But, the agenda of bringing all goods and services under GST, reducing exemptions and, simplifying rates is also known. That should be on the 2024-29 agenda too, spliced with the need to rationalise and simplify the import duty structure. With RTAs (regional trade agreements) and deviations from MFN (most favoured nation) rates, effective rates of protection get warped, apart from the Make in India initiative getting adversely affected because of high tariffs on inputs.

Third, there is public expenditure and this has many angles, including a decision about what the government should spend on, and the level of government that this expenditure is optimally delivered from. These are issues the 16th Finance Commission will look at. So far as the Union government is concerned, there is a case for